TVAC

Tokenization Value-Add Calculator

INDEPENDENT. STRUCTURED. FOR REAL-WORLD DECISIONS.

Deep Assessment Report

Tokenized Fine-Art Ownership Structure — Cayman Islands

A case-specific assessment report for tokenization viability and value creation.

November 2, 2026

A TVAC assessment by Astoval

CLARITY
BEFORE
COMMITMENT.

About this report

TVAC evaluates whether tokenizing a specific asset / structure creates net added value, using the five-factor model:

> **Added Value = (New Opportunities (NO) + Cost Savings (CS) + Risk Reduction (RR)) – (Tokenization Costs (TC) + New Risks (NR))**

Where this report fits

TVAC is designed for the very early decision stage of a tokenization initiative. It tests whether the proposed use of tokenization appears likely to create genuine added value before significant resources are committed to legal structuring, issuance-platform or provider selection, detailed technical architecture, or implementation. A positive verdict is therefore not implementation approval; it indicates that the case may justify deeper legal, commercial, technical and operational work.

Case description summary

The proposed structure plans to acquire a portfolio of fine art pieces and offer fractional ownership to a global retail audience through NFTs. Tokens may represent a mixture of contractual claims, informal profit-sharing promises, and membership rights tied to an offshore holding entity. Marketing would be conducted via social media campaigns, and participation would be open to anyone able to connect a self-custody wallet. The business thesis relies on global retail demand, social momentum, and perceived liquidity from DEX trading. The legal structure is not fully defined.

The full case description and structured input record used for this assessment are reproduced in Appendix E.

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01 Executive summary

TOKENIZATION VALUE VERDICT

Non-viable

ADDED VALUE

-14.00

plus 4.00 **minus** 18.00

Purpose and tokenization test

Project objective: Raise capital against a portfolio of fine art pieces by selling fractional NFT-based interests to a global retail audience; the exact legal and economic form of the investor entitlement remains unresolved because the rights are described as a mixture of contractual claims, informal profit-sharing promises, and membership rights.

Intended beneficiaries: The intended direct users are global retail buyers able to connect a self-custody wallet. The Asset Owner would be the Cayman Islands-based sponsor or offshore holding structure acquiring and managing the art portfolio. It is unknown whether the intended retail audience is expected to value long-term art exposure, short-term trading access, community membership, or some combination of those motives.

Conventional comparator: A provisional same-purpose non-tokenized alternative is a digitally administered art co-ownership, club, or fund-style participation structure with online onboarding, conventional investor records, controlled transfers, and managed custody of the underlying artworks.

What tokenization must improve: Does the NFT layer create incremental value over a conventional digital art participation structure by improving access, tradability, or servicing enough to justify materially higher legal, conduct, and operating complexity?

Provisional comparator - requires confirmation

ASSESSMENT RATIONALE

The tokenization case scores -14.00 (Non-viable); this verdict assesses incremental value rather than the underlying asset's investment merits. The token-specific mechanism is open wallet-based participation, global online reach, and continuous secondary transfer through a DEX with atomic settlement. The intended beneficiary is the sponsor seeking a broader retail distribution channel and retail participants seeking small-ticket exposure. Current evidence does not establish that these mechanisms create durable incremental value once rights ambiguity, cross-border controls, servicing obligations, and the like-for-like conventional comparator are taken into account.

Important interpretation note: This verdict concerns tokenization added value only. A Viable or Conditional Go verdict does not mean that the underlying asset is a good investment, that projected returns are realistic, that credit risk is acceptable, or that the instrument is suitable for any investor.

KEY TAKEAWAYS

01 **Key findings:** The incremental mechanism is global wallet-based retail access to fine art exposure and continuous token tradability; no additional durable opportunity is established beyond that access thesis.

02 **Key constraints:** Additional exposure arises from rights ambiguity, self-custody, unrestricted cross-border retail transfers, DEX trading assumptions, tax uncertainty, and enforcement risk relative to the provisional conventional comparator.

03 **Decision posture:** Run a like-for-like comparison between the proposed NFT model and a conventional digital art participation structure after first documenting one coherent rights model and a narrowed, supportable distribution perimeter. Continue only if the tokenized version retains a distinct, observable advantage that survives those clarifications; otherwise redesign or stop.

04 **Impact:** For the initiating stakeholder, the -14.00 score does not establish positive net added value. A decision to continue requires evidence of sufficient incremental benefits after the token-specific costs and risks.

Note on omitted sections: Scenario, what-if, and roadmap sections are intentionally omitted for Non-viable cases, because they assume a realistic basis for progression that is not present under the current design.

02 Asset class & market context

The relevant comparison is whether the proposed tokenized structure improves the stated conventional process or financing structure after added implementation cost, operating complexity and new risks are taken into account. The relevant counterfactual is a conventional digital arrangement serving the same parties, legal and economic rights, and transaction volume. Digitisation, electronic records and online communication are not tokenization benefits unless the token mechanism changes an economic outcome beyond that baseline.

The incremental token layer can create value only when its specific control, transfer or coordination function removes identifiable friction. The additional technology, governance, provider, reconciliation and continuity obligations must be allocated to the party that actually pays for them and compared with the claimed benefits. The available case description does not establish current market prices, prevailing financing terms, adoption rates or independently verified local comparables.

A decision therefore requires like-for-like evidence of incremental outcome, full lifecycle costs and risk allocation; absent that evidence, the economic conclusion remains conditional.

What this context means for the case

Structural factors supporting the case:

- The main upside is broader retail access to fine art exposure through fractional NFTs that can be acquired with a self-custody wallet from multiple jurisdictions.
- The only potential risk-mitigation mechanism visible in the case is transparent on-chain transfer and settlement logic.

Structural factors that still constrain the case:

- The case introduces extreme incremental risk because the token-holder rights, the offshore entity claims, and the underlying artwork ownership are not yet aligned into a clear enforceable structure.
- The current design concentrates high-cost workstreams in one structure: art acquisition and servicing, offshore entity design, NFT issuance, cross-border retail reach, venue exposure, and eventual dispute management.
- The multi-jurisdiction sale scope increases the need to separate common design logic from local distribution, investor-category, marketing and transfer requirements.
- Any claimed settlement or automation benefit remains dependent on a workable cash leg, finality, exception handling and reconciliation across the selected infrastructure.

03 Analysis result

ADDED VALUE

-14.00

PLUS	MINUS
4.00	18.00

Purpose and tokenization test

Potential mechanism and evidence: The token-specific mechanism is open wallet-based participation, global online reach, and continuous secondary transfer through a DEX with atomic settlement. The intended beneficiary is the sponsor seeking a broader retail distribution channel and retail participants seeking small-ticket exposure. Current evidence does not establish that these mechanisms create durable incremental value once rights ambiguity, cross-border controls, servicing obligations, and the like-for-like conventional comparator are taken into account.

Decision-critical unknowns

- What exactly does each NFT entitle the holder to, and how does that entitlement connect legally and operationally to the underlying fine art portfolio?
- Which record is legally authoritative for ownership and investor rights: the token record, the offshore entity register, or another document set?
- Can the stated United States, United Kingdom, EU, and Singapore sales perimeter be pursued with global retail access, social-media marketing, self-custody, and unrestricted transfers, or would the model need to be narrowed materially?
- Would investors still participate once rights, fees, portfolio governance, and transfer conditions are stated clearly rather than marketed primarily through openness and momentum?
- Does the token layer outperform a realistic conventional digital art participation structure after shared features, shared costs, and shared risks are separated?

Verdict rationale:
This case is assessed as Non-viable because the current structure produces an Added Value of -14.00: the strongest supportive driver is New Opportunities (3/10), while the main friction is New Risks (10/10). The incremental mechanism is global wallet-based retail access to fine art exposure and continuous token tradability; no additional durable opportunity is established beyond that access thesis. Additional exposure arises from rights ambiguity, self-custody, unrestricted cross-border retail transfers, DEX trading assumptions, tax uncertainty, and enforcement risk relative to the provisional conventional comparator. Tokenization Costs is also material: The incremental whole-life burden falls mainly on the sponsor through legal design, cross-border conduct management, art servicing, token infrastructure, and dispute handling. This rationale concerns tokenization added value only and does not validate legal, regulatory, tax, financial, investment, credit, yield, issuer, or implementation suitability.

Factor score profile

Factor	Score	Case-specific driver
New Opportunities	**3/10**	The incremental mechanism is global wallet-based retail access to fine art exposure and continuous token tradability; no additional durable opportunity is established beyond that access thesis.
Cost Savings	**0/10**	No recurrent token-specific savings are evidenced against a same-purpose digital comparator, and the current structure appears more cost-additive than cost-reducing.
Risk Reduction	**1/10**	Only limited additional transparency and programmability are visible, and these are outweighed by the removal of distribution and custody control points.
Tokenization Costs	**8/10**	The incremental whole-life burden falls mainly on the sponsor through legal design, cross-border conduct management, art servicing, token infrastructure, and dispute handling.
New Risks	**10/10**	Additional exposure arises from rights ambiguity, self-custody, unrestricted cross-border retail transfers, DEX trading assumptions, tax uncertainty, and enforcement risk relative to the provisional conventional comparator.

Added Value: -14.00 (plus 4.00 / minus 18.00)

What still needs to be verified:

These are the principal evidence gaps requiring independent verification before relying on this assessment for further decisions.

- No verified jurisdiction-specific claim or approved local baseline is available; local regulatory application remains unresolved.
- Obtain written jurisdiction-specific legal analysis of classification, offering pathway, rights mapping and transfer controls.
- Document and validate the relationship between the token, legal title or contractual rights, custody and storage, insurance, provenance, valuation or appraisal, and the allocation of sale or distribution proceeds.

Regulatory status: General (no verified local references) · Case-specific applicability unverified

TVAC has identified relevant regulatory context for the stated issuance jurisdiction and case-specific legal questions, but it has not verified how the law applies to the final structure. For an existing or retrospective case, historical authorizations and ongoing obligations require independent validation; for a planned case, applicable requirements should be assessed before implementation.

Sources used and outstanding validation questions are summarized in Appendix A.5.

The score becomes useful only when the structure behind it is coherent. The sections below test the value pathways, participant or investor perimeter, operating burden, regulatory path, custody and transfer fit, and—where material—the settlement and cash-leg design that must support the claimed benefits.

3.1 Value pathways

This section isolates the mechanisms through which tokenization could create incremental value over a realistic conventional alternative. It is not an assessment of whether the underlying asset or financing need is attractive in its own right.

- The only clear token-specific upside currently described is small-ticket global retail access to economic exposure linked to a fine art portfolio through NFTs.
- The case does not evidence a second anchored opportunity beyond access; the claimed liquidity benefit relies on continuous DEX trading and social momentum rather than on a controlled venue, committed liquidity support, or rights clarity.
- Because the legal and economic alignment between token holders and the underlying artwork ownership is described as structurally ambiguous, the token layer is not yet shown to deliver enforceable value beyond marketing reach and speculative tradability.
- Against a provisional conventional comparator of digitally distributed art co-ownership or fund-style interests with controlled onboarding and transfer restrictions, the current token design is not yet shown to create net added value.

3.2 Investor segmentation

Investor scope affects both upside and friction. A narrower professional or institutional audience can reduce distribution and compliance complexity, but it can also limit the access or liquidity benefit that tokenization is expected to create.

- The intended audience is global retail, not professional investors or other pre-vetted non-retail segments.
- Participation is designed to be open to anyone able to connect a self-custody wallet, which effectively removes segmentation from the front of the process and shifts risk into enforcement, communications, and secondary transfers.
- This broad retail perimeter is especially consequential because the case also proposes social media marketing, no prospectus or formal disclosure document, and no jurisdictional transfer restrictions.
- For this fine art NFT model, investor segmentation is not a secondary design detail; it is central to whether the access thesis can be pursued without making the control problem unmanageable.

3.3 Operational costs

This section distinguishes plausible process savings from the additional cost of introducing the token layer. A saving becomes a strong value driver only when it can be compared with the current process and is not offset by data, integration, provider or compliance work.

- TVAC assesses that the model is likely to carry heavy whole-life cost categories even before any compliant restructuring: rights documentation, entity structuring, art acquisition governance, provenance administration, valuation support, storage and insurance oversight, token issuance, investor communications, and dispute handling.
- If the current unrestricted retail model were later narrowed into a controlled distribution model, additional cost categories would likely appear rather than disappear, including onboarding controls, transfer logic, recordkeeping, and market surveillance.
- No validated conventional baseline was supplied showing that The proposed tokenization may reduce these costs relative to a digitally administered non-tokenized art participation structure.
- The current concept therefore looks cost-additive rather than cost-saving.

3.4 Regulatory path

This is regulatory scoping, not a legal opinion. The purpose is to identify the verified regulatory context and the design questions that materially affect the case, while making clear what still requires qualified jurisdiction-specific validation.

- TVAC has no independently activated, verified regulatory baseline for Cayman Islands in this assessment. This does not imply the issuer lacks approved documentation or regulatory authorization. Any approval described in user inputs is issuer-reported and not independently validated by TVAC; local applicability remains subject to qualified review.
- Determine the legal and economic character of the token, the underlying asset or claim, the issuer or wrapper and the rights granted to holders; tokenization does not itself determine classification.
- Distinguish capital raising and investor distribution from a closed operational workflow. The relevant offering, marketing, eligibility and disclosure questions depend on what is actually offered, to whom, where and through which communications and intermediaries.
- Map the functions performed by the issuer, platform, onboarding provider, custodian, registry or recordkeeper, transfer operator, venue, payment provider and other service providers. Technology labels do not determine regulated roles.
- Confirm which record is legally authoritative, how transfers become effective, how asset and cash legs reach finality, how exceptions are handled and how rights remain enforceable if a provider or technical component fails.
- For cross-border cases, validate the issuance jurisdiction, every target or sale jurisdiction, investor categories, marketing perimeter, data handling, tax treatment and payment or foreign-exchange implications separately.
- United States: approved baseline scoping context is available for distribution, investor eligibility, marketing, transfer and intermediary-role analysis. It does not determine local applicability or compliance.
- United States — baseline scoping: At scoping level, a token representing debt, equity, fund interests or another investment exposure should be analysed under the U.S. federal securities-law framework. Tokenization does not itself determine the instrument's legal classification.

- United States — baseline scoping: Broker-dealer, alternative trading system, transfer-agent, custody and recordkeeping questions may arise according to the functions actually performed, the instrument classification and the proposed secondary-transfer model. A technology label does not decide those roles.
- United States — baseline scoping: Regulation S is a U.S. framework for specified offshore offers and sales. Its possible relevance depends on the actual offer, sale, investor, communications and distribution facts; the interface label or a non-U.S. sale jurisdiction does not establish compliance.
- United Kingdom: approved baseline scoping context is available for distribution, investor eligibility, marketing, transfer and intermediary-role analysis. It does not determine local applicability or compliance.
- United Kingdom — baseline scoping: Approved baseline context identifies the following potentially relevant frameworks or regimes for scoping in United Kingdom: Financial Services and Markets Act (FSMA); Financial promotion rules / regime; AML regime (UK); UK GDPR / Data protection regime. Their case-specific applicability, current conditions and interaction must be independently confirmed.
- United Kingdom — baseline scoping: Marketing/financial promotions can be a primary constraint; ensure compliant pathways for target audiences.
- United Kingdom — baseline scoping: Token classification and whether it constitutes a regulated investment is central to design feasibility.
- European Union: approved baseline scoping context is available for distribution, investor eligibility, marketing, transfer and intermediary-role analysis. It does not determine local applicability or compliance.
- European Union — baseline scoping: EU scoping should first distinguish a token that is a financial instrument or other regulated financial product from a crypto-asset governed by MiCA. MiCA does not replace the EU financial-services framework for instruments already covered by that framework, and tokenization does not itself determine classification.
- European Union — baseline scoping: Where the token represents a transferable security or another financial instrument, MiFID II, the Prospectus Regulation and related national rules may shape distribution, investor access, intermediary roles and disclosure. The final facts determine which requirements or exemptions are relevant.
- European Union — baseline scoping: The DLT Pilot Regime provides an EU framework for specified DLT market infrastructures, while MiFID II, CSDR and national implementation remain relevant to trading, settlement, custody, recordkeeping and market-infrastructure functions according to the final design.
- Singapore: approved baseline scoping context is available for distribution, investor eligibility, marketing, transfer and intermediary-role analysis. It does not determine local applicability or compliance.
- Singapore — baseline scoping: Approved baseline context identifies the following potentially relevant frameworks or regimes for scoping in Singapore: Securities and Futures Act (high-level reference only); Payment Services Act (high-level reference only). Their case-specific applicability, current conditions and interaction must be independently confirmed.
- Singapore — baseline scoping: Hub jurisdictions may still be constrained primarily by sale jurisdictions and distribution posture.
- Singapore — baseline scoping: Institutional custody expectations and control environment may be central for adoption.

3.5 Custody & venue fit

Custody and venue design should be proportionate to the value thesis. If the case does not depend on continuous secondary trading, extra custody, venue or transfer complexity should be justified by a concrete operational, control or distribution benefit.

- Self-custody and DEX trading are highly consistent with the project's low-friction, open-access objective, but they are poorly aligned with the stated need for cross-border control, investor protection, and defensible rights enforcement.
- For a fine art exposure sold to retail buyers, the combination of self-custody and unrestricted DEX transfers weakens the ability to control who acquires the tokens, how communications are targeted, and how post-trade issues are managed.
- The continuous venue thesis is also economically fragile: perceived liquidity on a DEX is not the same as evidenced liquidity in a product whose underlying asset is illiquid, hard to value, and legally layered through an offshore entity.
- Venue and custody therefore support the marketing thesis better than they support legal clarity, investor servicing, or market integrity.

3.6 Settlement & Cash-Leg Readiness

Settlement is assessed against the case's actual value logic, not against an assumption that tokenization requires digital money or T+0. The key question is whether the cash leg can operate reliably for the intended investors and operating model without unnecessary complexity.

- Why it matters: The claimed value depends directly on the selected settlement design working reliably. The asset or security leg and the corresponding cash movement therefore need to operate together reliably.
- Current position: the proposed payment and settlement approach is T+0 or atomic DvP target. A settlement approach has been proposed, but its operational readiness has not been independently established. This does not establish legal or operational settlement finality.
- What must be proven: asset- and cash-leg finality, synchronization, failed-settlement handling, exception management and recovery. Until those points are evidenced, settlement-dependent benefits should remain conditional rather than treated as realized outcomes.

04 Stakeholder value & alignment

This chapter asks whether the parties needed to make the structure work are economically and operationally aligned. It focuses on the value each party receives, the burden and responsibility it carries, and the dependencies that could weaken the project's overall Added Value.

4.1 Value & alignment overview

The stakeholder map identifies the parties involved. Their distinct benefits, costs, responsibilities and alignment conditions are analysed once in the sections that follow.

Cayman Islands sponsor / offshore holding structure
Would acquire and manage the fine art portfolio and bear primary structuring, servicing, and enforcement responsibility

Global retail NFT buyers
Non-professional participants targeted through social media and expected to use self-custody wallets

Token issuance, wallet, DEX, and servicing stack
The technical and market infrastructure that would enable minting, custody by users, trading, settlement, and investor communications

4.2 Cayman Islands sponsor / offshore holding structure

Value received

- Potential value is access to a broader retail capital pool and a more marketable digital distribution story for fine art exposure.

Costs, risks & responsibilities

- Bears the heaviest unresolved burden: rights design, art governance, cross-border marketing exposure, disclosure choices, investor complaints, venue fit, and reputational damage if the structure proves incoherent.

Alignment & actions

- Alignment is currently weak because the sponsor seeks maximum openness while the product still lacks a coherent rights and control framework.

4.3 Global retail NFT buyers

Value received

- Potential value is small-ticket access to an otherwise concentrated fine art exposure and the possibility of transferable digital positions.

Costs, risks & responsibilities

- Would bear rights ambiguity, valuation uncertainty, self-custody loss risk, cross-border tax uncertainty, and the possibility that token liquidity is thinner or less reliable than the marketing narrative implies.

Alignment & actions

- Alignment remains uncertain until the project shows exactly what holders own, how decisions are made, and what recourse exists when disputes arise.

4.4 Token issuance, wallet, DEX, and servicing stack

Value received

- Infrastructure providers benefit from transaction flow and service demand if the model launches at scale.

Costs, risks & responsibilities

- Their precise obligations are not stated, and the current concept does not show who would take responsibility for market surveillance, investor support, error handling, or record reconciliation.

Alignment & actions

- Alignment is potentially asymmetric because infrastructure can monetize access and activity even when the sponsor retains most legal and reputational exposure.

4.5 Who bears the costs and risks?

In a capital-formation case, the issuer may carry substantial structuring, legal, compliance and distribution costs before funding is secured. That is a pre-funding economic position, not necessarily the final outcome. The relevant question is whether tokenization demonstrably produces incremental capital access, financing flexibility or terms that outweigh the added stack relative to a realistic conventional alternative.

- A materially negative pre-funding issuer position should trigger a demand, terms and cost-allocation review, not an automatic conclusion that tokenization can never work. It becomes a warning sign if investor demand remains uncommitted, the same capital could reasonably be raised conventionally on similar terms, or provider fees absorb the incremental financing benefit.
- If investor net position is low or negative, expect weak demand unless enforceability, disclosures, custody, and realistic exit paths are improved.

05 Factor breakdown – detailed explanation

This chapter explains the causal basis of the five scores: which facts, assumptions and evidence gaps create upside, and which ones introduce additional friction. The three positive factors ask what tokenization adds relative to a realistic conventional alternative; the two negative factors ask what extra cost or risk the token layer introduces. A low positive score therefore means limited or weakly evidenced tokenization benefit, while a low negative score means limited additional friction. The scores are calibrated methodology judgments, not measured outcomes or legal conclusions.

> **Added Value = (New Opportunities + Cost Savings + Risk Reduction) – (Tokenization Costs + New Risks)**

Overall, the negative aggregate score supports Non-viable under the stated assumptions; reassess only after addressing the case-specific value shortfall. With an Added Value score of -14, this is not a narrow decision-range case. The gap is large enough that incremental tuning is unlikely to restore viability on its own. Net Added Value is primarily driven by new opportunities at 3/10 on the upside, and constrained mainly by new risks at 10/10 on the friction side.

New opportunities (NO)

- The main upside is broader retail access to fine art exposure through fractional NFTs that can be acquired with a self-custody wallet from multiple jurisdictions.
- That opportunity remains limited because the case does not show a stable legal rights package or a controlled distribution pathway for the stated United States, United Kingdom, EU, and Singapore sales perimeter.
- The claimed liquidity benefit is not treated as a separate anchored opportunity because it depends on perceived DEX tradability and social momentum rather than on evidenced market structure or clearly enforceable rights.

Cost savings (CS)

- No validated conventional comparator was supplied showing that an NFT structure is cheaper to launch, service, or govern than an ordinary digitally administered art participation product.
- The stated model adds cost-heavy layers instead of removing them: offshore structuring, global retail communications, token issuance, venue exposure, self-custody support issues, and cross-border tax uncertainty.
- Any future automation benefit is currently outweighed by unresolved design work and by the absence of evidence that manual administration would otherwise be the baseline.

Risk reduction (RR)

- The only potential risk-mitigation mechanism visible in the case is transparent on-chain transfer and settlement logic.

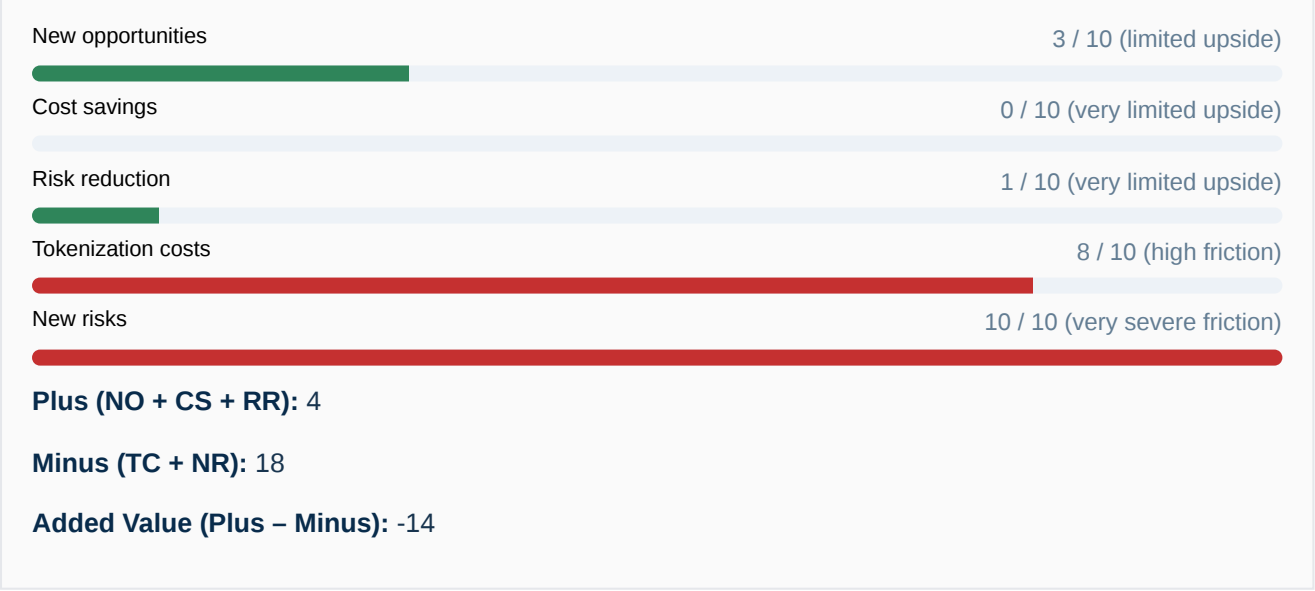
- That benefit is small because the project also removes the main control points that might reduce conduct or transfer risk: unrestricted jurisdictional access, self-custody, minimal onboarding friction, and no formal disclosure package.
- The token layer therefore redistributes risk more than it reduces it, especially for a retail fine art product with ambiguous rights alignment.

Tokenization costs (TC)

- The current design concentrates high-cost workstreams in one structure: art acquisition and servicing, offshore entity design, NFT issuance, cross-border retail reach, venue exposure, and eventual dispute management.
- Those cost categories are not yet offset by an evidenced operating advantage over a conventional digital alternative serving the same fine art exposure objective.
- Because the legal structure is not fully defined, the project would likely incur substantial redesign cost before it could even test whether the low-friction retail thesis is supportable.

New risks (NR)

- The case introduces extreme incremental risk because the token-holder rights, the offshore entity claims, and the underlying artwork ownership are not yet aligned into a clear enforceable structure.
- Cross-border retail marketing through social media, unrestricted transfers, self-custody, and DEX trading create serious conduct, perimeter, surveillance, and investor-protection exposure across the stated sale jurisdictions.
- The business thesis also depends on perceived liquidity in an asset class that remains subjective in valuation and operationally dependent on provenance, custody, and sale execution.



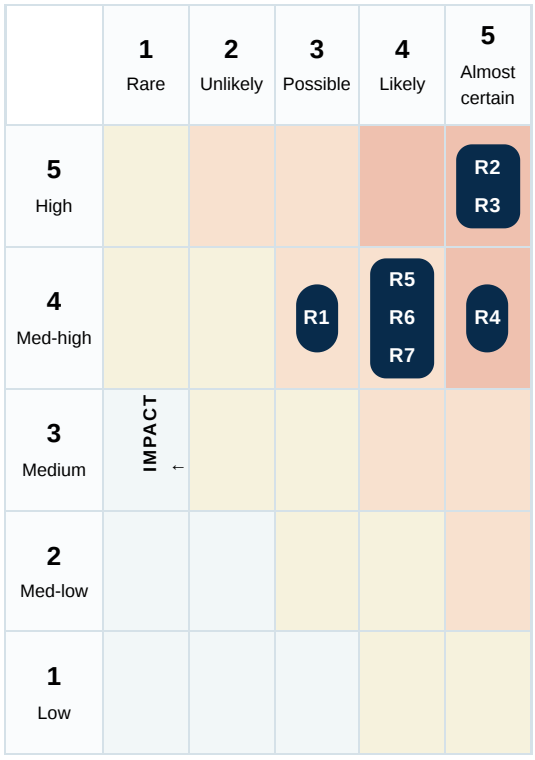
Plus (NO + CS + RR): 4

Minus (TC + NR): 18

Added Value (Plus – Minus): -14

06 Key risks & mitigation

This matrix prioritizes the report's identified risks by impact and likelihood. It is not a measured probability model; each position should be read together with the case-specific description and mitigation.



Risk zones are indicative prioritization bands, not measured probabilities.

PRIORITY RISKS

R1 **Misaligned incentives / vendor-capture risk**

Impact 4 · Likelihood 3

Mitigation: Use stage-gating and milestones (legal opinions + demand validation) before committing; negotiate fee structures with meaningful success-based components; ensure portability/exit clauses if the platform/venue changes strategy.

R2 **Rights-to-artwork ambiguity**

Impact 5 · Likelihood 5

Mitigation: Document a single rights model linking each NFT to defined economic and governance rights and obtain independent legal confirmation of the record hierarchy

R3 **Cross-border retail distribution exposure**

Impact 5 · Likelihood 5

Mitigation: Obtain jurisdiction-by-jurisdiction scoping for the Cayman issuance and the stated United States, United Kingdom, EU, and Singapore sale perimeter before marketing

R4 **Perceived rather than real liquidity**

Impact 4 · Likelihood 5

Mitigation: Stress-test whether continuous DEX trading remains viable once rights disclosures, transfer controls, and surveillance requirements are specified

R5 **Self-custody loss and retail servicing failure**

Impact 4 · Likelihood 4

Mitigation: Define wallet-loss, fraud, error-resolution, complaints, and communications procedures or narrow access to a supportable user segment

R6 **Valuation and provenance disputes**

Impact 4 · Likelihood 4

Mitigation: Establish independent provenance, appraisal, storage, and disposition protocols for the fine art portfolio with investor-facing disclosure

R7 **Tax and reporting mismatch**

Impact 4 · Likelihood 4

Mitigation: Map holder tax treatment, withholding, reporting, and entity-level leakage for the stated cross-border retail perimeter before launch

07 | Recommendations & next steps

7.1 Design priorities and decision gates

NON-VIABLE NOTE: This outcome reflects structural blockers, not missing details. Treat the points below as redesign requirements (or reasons to stop), not as tuning levers. If you cannot implement the redesign items, do not proceed with tokenization under the current concept.

This is still an early exploration rather than a design-final structure, even though the venue, custody, and settlement choices are already stated. Overall verdict: Non-viable. The decisive trade-off is clear: the case is trying to maximize global retail reach and crypto-native tradability for a fine art portfolio before it has established coherent investor rights, authoritative records, or a supportable control framework across the Cayman Islands issuance structure and the stated United States, United Kingdom, EU, and Singapore sales perimeter. That leaves the Asset Owner carrying the design burden, enforcement risk, and reputational exposure while the current model asks infrastructure and market momentum to solve problems that are actually legal, economic, and servicing problems.

1. Define a single rights model for the fine art exposure

Constraint in this case

The NFTs are currently described as a mixture of contractual claims, informal profit-sharing promises, and membership rights tied to an offshore holding entity. For a fine art product, that is not a technical detail. It is the core of the investment proposition. Without one coherent rights model, the Asset Owner cannot show what token holders actually own, what cash flows they are entitled to, who decides when artworks are sold, how expenses are allocated, or which record controls in a dispute.

Required actions

- Reduce the rights package to one clearly documented economic and governance model instead of combining multiple partially defined claims.
- Map the full chain from artwork title and custody through the offshore holding entity to the token holder's entitlement, including distributions, expenses, voting or consent rights, and sale proceeds.
- Document which record performs each role in the proposed design and separately confirm which record is legally authoritative.
- Align all investor-facing language with that single rights model and remove informal or promotional language that implies broader protections than the documents actually provide.

Expected effect

This would not create value by itself, but it could stop the token from amplifying ambiguity. The main benefit would be lower structural uncertainty for the Asset Owner and for retail holders, with possible improvement in risk allocation and decision clarity. Evidence would be a written rights map that remains internally consistent across issuance, trading, servicing, and exit from the art portfolio.

2. Replace unrestricted global retail access with a controlled distribution perimeter

Constraint in this case

The current thesis combines global retail marketing through social media, minimal onboarding friction, no prospectus or formal disclosure, self-custody, and unrestricted transfers. That may support reach, but it leaves the Asset Owner exposed to the broadest possible conduct and enforcement perimeter while offering the weakest control over who buys, what they understand, and how resales occur. In this configuration, the infrastructure captures distribution velocity while the Asset Owner bears the downside if the perimeter proves unmanageable.

Required actions

- Choose an initial launch perimeter that is narrower than the full stated sales map unless independent analysis shows that the broader perimeter can be controlled.
- Introduce investor segmentation, onboarding, and transfer rules that match the actual distribution thesis rather than treating open wallet access as the default.
- Replace purely momentum-driven marketing with communications that are consistent with the final rights package and the selected jurisdictional scope.
- Make the access thesis explicit: decide whether the project is selling broad public participation, crypto-native tradability, or a more controlled fine art investment experience, because those are not the same thing operationally.

Expected effect

This restructuring could reduce the mismatch between growth ambition and controllability. The immediate effect would be to lower the incremental burden created by cross-border retail openness, even though it may also narrow the headline access story. Evidence would be a documented distribution model that the Asset Owner can actually supervise from marketing through secondary transfer.

3. Rebuild the liquidity thesis around market integrity rather than assumed DEX activity

Constraint in this case

Continuous DEX trading and atomic settlement are central to the current narrative, but the underlying asset is a fine art portfolio with subjective valuation, infrequent realization events, and operational dependence on provenance and custody. In that setting, continuous token trading can create the appearance of liquidity without proving reliable price formation, orderly markets, or meaningful exit capacity for retail holders. The current model therefore risks importing a high-volatility trading environment into an asset whose underlying economics remain slow and judgment-based.

Required actions

- Treat secondary trading as a dependent design choice, not as proof of value, until the rights model, investor perimeter, and market-integrity controls are defined.

- Test whether the fine art product still has a viable value proposition if continuous DEX trading is constrained, delayed, or redesigned.
- Document how pricing, disclosures, investor communications, and suspicious-market-behavior handling would work if trading remains part of the offer.
- Separate technical settlement speed from economic liquidity in all internal planning and investor messaging.

Expected effect

This could prevent the project from overpaying for a liquidity story that the underlying asset may not support. The relevant improvement would be better attribution: either the token layer still adds access and servicing value without aggressive trading assumptions, or the case shows that the current proposition is mainly speculative market structure rather than durable product design. Evidence would be a business case that remains coherent even when perceived liquidity is no longer treated as guaranteed.

4. Prove that the token layer outperforms a conventional digital art participation structure

Constraint in this case

At present, the case does not show that NFTs outperform a realistic conventional alternative serving the same purpose. A digitally administered art co-ownership, club, or fund-style structure could already offer online access, small-ticket participation, managed custody of the artworks, and structured reporting. If that conventional route can deliver most of the same investor experience with lower legal and conduct complexity, the Asset Owner is bearing tokenization cost and risk without a demonstrated incremental return.

Required actions

- Build a like-for-like conventional comparator using the same fine art portfolio objective, the same intended audience, and the same servicing obligations.
- Compare the tokenized and conventional models across whole-life cost categories, investor support burden, rights clarity, distribution control, and exit mechanics.
- Identify which claimed benefits come from tokenization itself and which come from ordinary digitization or from the attractiveness of the underlying artworks.
- Stop relying on social momentum as a substitute for economic attribution; gather evidence of demand for the actual structured product once rights, fees, and transfer conditions are stated clearly.

Expected effect

This is the key Asset Owner discipline step. It could show whether the token layer creates additional reach or monetizable utility that a conventional digital structure cannot match, or whether the same capital-formation goal can be achieved more safely without NFTs. Evidence would be a comparator analysis in which the token-specific benefit survives after shared features and shared costs are removed.

Redesign implication under current structure

Under the current concept, this should be treated as a redesign-or-stop threshold, not as a normal optimisation pathway. Do not infer that feasibility can be restored through incremental tuning alone.

7.3 Redesign requirements / stop conditions

- Obtain independent jurisdiction-by-jurisdiction analysis for the Cayman Islands issuance structure and the stated United States, United Kingdom, EU, and Singapore sales perimeter; reason: this tests whether the current global retail, social-media, self-custody, and unrestricted-transfer model is supportable or whether Tokenization Costs and New Risks remain prohibitive; decision criterion: continue only if the analysis identifies a coherent launch perimeter and required controls, otherwise redesign or stop the current open-access model.

- Document the full rights chain from each artwork to the offshore holding entity and then to each NFT holder, including distributions, expenses, control rights, and record hierarchy; reason: this tests whether the token creates real investor entitlements or only ambiguous claims, which is decisive for New Opportunities and Risk Reduction; decision criterion: continue only if the documentation shows a single internally consistent rights model that can be communicated and serviced without contradiction.

- Build a like-for-like conventional digital comparator for the same fine art portfolio strategy and intended retail audience; reason: this tests whether any claimed benefit is actually caused by tokenization rather than by ordinary digitization or by the attractiveness of the art portfolio itself, which is decisive for Cost Savings and overall Added Value; decision criterion: continue only if the tokenized model shows a distinct incremental advantage after shared features and shared costs are separated.

- Validate the operating model for self-custody, continuous trading, wallet loss, investor communications, complaint handling, and suspicious-market-behavior response; reason: this tests whether the DEX and self-custody design can be run without creating uncontrolled retail harm, which is central to New Risks; decision criterion: continue only if the operating model remains workable once these controls are specified and does not collapse the low-friction thesis.

- Gather evidenced investor demand for the actual structured product after rights, fees, transfer conditions, and portfolio governance are described clearly; reason: this tests whether the access and liquidity thesis reflects durable demand rather than social momentum alone, which matters for New Opportunities and for the decision to proceed at all; decision criterion: continue only if interest remains credible under the disclosed structure rather than only under a loosely defined marketing narrative.

TVAC

Appendices

- Appendix A — Method & interpretation
- Appendix C — TVAC Provider Directory (illustrative)
- Appendix D — Glossary & abbreviations
- Appendix E — Case inputs used for assessment

Appendix F — Disclaimer

Appendix A — Method & interpretation

A.1 How to use this appendix

This appendix explains how to interpret the assessment, what evidence is still needed, and which conditions could strengthen or weaken the case. It is not a technical manual for TVAC.

A.2 What the assessment establishes — and what it does not

This report provides informational decision support only. It does not constitute legal, regulatory, tax, financial, or investment advice, and it does not provide a compliance determination, valuation, or provider endorsement.

Case snapshot (as stated)

- Issuance jurisdiction: Cayman Islands
- Sale jurisdictions / target markets: United States, United Kingdom, EU, Singapore
- Asset / instrument type (indicative): sole-record
- Liquidity intent (as stated): continuous
- Payment / cash-leg indication: T+0 or atomic DvP target
- Cash-leg dependency / readiness: Critical dependency / Selected / Unverified readiness

What the Tokenization Value Verdict means

- Viable: Tokenization added value is plausible under the stated assumptions, subject to normal verification and execution.
- Conditional Go: Tokenization added value is design-dependent. Proceeding without meeting the listed conditions materially increases execution risk.
- Non-viable: Under current assumptions, tokenization is unlikely to outperform a conventional structure on a risk-adjusted basis.

What TVAC did not assess

- No definitive legal, regulatory, tax, or investment conclusions
- No asset valuation, yield projections, or market-price forecasts
- No assurance of secondary-market liquidity or investor demand
- No operational readiness audit beyond the indicative checklist

A.3 Minimum evidence before the next major commitment

Before proceeding toward implementation, decision-makers should be able to substantiate a minimum level of evidence across the areas below.

This checklist is not exhaustive and does not imply regulatory sufficiency. It reflects common governance expectations in institutional-grade projects.

Highest-priority gaps in this case

(derived from inputs/completeness)

1. No verified jurisdiction-specific claim or approved local baseline is available; local regulatory application remains unresolved.
2. Obtain written jurisdiction-specific legal analysis of classification, offering pathway, rights mapping and transfer controls.
3. Document and validate the relationship between the token, legal title or contractual rights, custody and storage, insurance, provenance, valuation or appraisal, and the allocation of sale or distribution proceeds.

Structural & economic foundations

- Clear description of the underlying asset and ownership structure
- Defined economic rights and cash-flow logic
- Draft term sheet or structural outline
- Clear rationale for tokenization vs alternatives

Regulatory & distribution posture

- Issuance jurisdiction clearly defined
- Explicit list of sale jurisdictions
- Documented investor type assumptions
- Initial regulatory scoping (high-level)

Token & control design

- High-level token design and rights mapping
- Transfer restriction and whitelist logic (conceptual)
- Corporate actions and investor reporting approach
- Governance for smart-contract or protocol changes (if relevant)

Infrastructure & counterparties

- Custody model (conceptual)
- Indicative partner shortlist (non-binding)
- Issuance, registry, and lifecycle approach
- Payment / cash-leg and settlement approach, proportionate to the case's actual value proposition
- Early assessment of secondary trading (if any)

Cost & operational realism

- High-level CAPEX and OPEX view
- Identification of major cost drivers
- Clear internal ownership of ongoing operations
- Understanding of scalable vs non-scalable costs

Lack of clarity across several of these areas materially increases execution risk, even where the conceptual case appears attractive.

A.4 What could strengthen or weaken the case

Top drivers in this case (derived from scoring)

- Upside driver: New opportunities (value depends on distribution and product/instrument design)
- Risk driver: New risks (most sensitive to regulatory interpretation, custody/ops complexity, and cross-border distribution)
- Cost driver: Tokenization costs (most sensitive to legal/compliance scope, integrations, and ongoing ops overhead)

High-impact decision levers (practical)

- Distribution scope: reduce jurisdictions and/or tighten investor segments to lower compliance and operational overhead.
- Liquidity posture: treat early secondary trading as optional; defer until structure and reporting are stable.
- Custody & controls: choose a control model that meets institutional requirements without over-engineering.
- Payment / cash-leg: clarify the settlement model only to the level required by the claimed value proposition; do not over-engineer it for low-dependency cases.
- Rights & governance: tighten rights mapping (cash flows, reporting, governance, transfer rules) to reduce friction and disputes.

How to use this

Do not treat the levers above as a routine optimisation checklist. Reassess only after the structural reasons for the Non-viable result have been materially changed and evidenced.

A.5 Evidence & source transparency

Basis of assessment

The assessment is based on the case description and structured inputs used for this assessment, the fixed TVAC methodology, and any activated verified external sources. Operational and commercial claims in the case inputs have not been independently verified unless explicitly stated.

External sources used

- SEC — Exempt Offerings overview · U.S. Securities and Exchange Commission · checked 2026-07-15
- eCFR — Regulation S: offers and sales outside the United States · U.S. Securities and Exchange Commission / Electronic Code of Federal Regulations · checked 2026-07-15
- SEC — Guide to Broker-Dealer Registration · U.S. Securities and Exchange Commission · checked 2026-07-15
- SEC — Alternative Trading Systems · U.S. Securities and Exchange Commission · checked 2026-07-15
- SEC — Transfer Agents · U.S. Securities and Exchange Commission · checked 2026-07-15
- Directive 2014/65/EU on markets in financial instruments · European Union · checked 2026-07-15
- Regulation (EU) 2017/1129 — Prospectus Regulation · European Union · checked 2026-07-15
- Regulation (EU) 2023/1114 — Markets in Crypto-assets · European Union · checked 2026-07-15
- Regulation (EU) 2022/858 — DLT Pilot Regime · European Union · checked 2026-07-15
- Regulation (EU) No 909/2014 — Central Securities Depositories Regulation · European Union · checked 2026-07-15

What remains unverified

- Which legal classification applies to the final instrument and rights structure?
- Which offering, marketing and investor-eligibility rules apply in each jurisdiction?
- Which ownership, custody, registry, transfer, settlement, tax and reporting requirements apply?
- How is US-facing distribution scoped (investor type, channels, communications) and how is it enforced operationally?
- Which transfer restrictions and onboarding controls are needed to keep distribution posture consistent with assumptions?
- If secondary trading is planned, what is the feasible venue pathway for the target markets?
- How is UK-facing distribution scoped (investor type, channels, communications) and how is it enforced operationally?
- Which regulated roles (onboarding, custody, venue) are expected or preferred for the design?

Appendix C — TVAC Provider Directory (illustrative)

This appendix is an illustrative reference layer intended to help the reader think about which types of external partners may be relevant in a tokenization project.

It is not a recommendation list, procurement shortlist, or ranking. Inclusion or omission does not imply endorsement, criticism, quality judgment, regulatory approval, or case suitability. Any provider mentioned here must be assessed independently for legal fit, jurisdictional coverage, operating model fit, technical capability, conflicts, cost, and execution reliability. This appendix is non-exhaustive and subject to change.

C1. How to use this appendix

Use this appendix to identify the provider categories a case may require, not as a signal that a specific provider should be engaged.

In many cases, the main value of the directory is not the names themselves, but the discipline of asking:

- Which functions must be covered?
- Which functions can be combined?
- Which functions must remain regulated or jurisdiction-specific?
- Which dependencies create concentration risk or vendor-capture risk?
- Which parts of the stack are critical before launch, and which can wait?

C2. Typical provider categories

Depending on the case, a tokenization project may require some or all of the following partner categories:

- legal & regulatory advisers
- tax advisers
- issuance / tokenization platform
- smart-contract / token engineering support
- custody / wallet infrastructure
- transfer agent / registry administration
- fund administration or SPV administration
- trading venue / ATS / MTF / exchange partner
- transfer or liquidity-support provider, only where explicitly required and legally permitted
- KYC / AML / onboarding provider
- payment / settlement / banking partner
- audit / assurance / cybersecurity reviewers
- valuation, data, or oracle-related providers
- distribution / placement / investor onboarding partners
- systems integration / workflow automation support

C3.1 Legal & regulatory advisers

These advisers help determine whether the proposed structure is legally enforceable, properly classified, and consistent with the intended issuance, distribution, transfer, custody, and disclosure model.

Typical use cases:

- wrapper design
- securities-law classification
- cross-border marketing analysis
- transfer restriction design
- offering documentation
- legal opinions and regulatory scoping

C3.2 Issuing platforms

These providers typically support issuance workflows, lifecycle management, permissions, investor access rules, and parts of the reporting or compliance stack.

Typical use cases:

- token issuance
- lifecycle events
- permissions / whitelisting
- cap-table or investor-position management
- compliance rule integration
- reporting workflows

C3.3 Custody, trading & settlement

These providers support safekeeping, wallet infrastructure, execution, venue access, settlement, and post-trade operations.

Typical use cases:

- institutional custody
- secure wallet infrastructure
- settlement support
- exchange / venue access
- post-trade servicing
- collateral mobility or transfer control support

C4. Practical selection principles

When evaluating providers, the reader should typically assess:

- jurisdictional fit
- regulatory status where relevant
- experience with the relevant asset class
- operating-model compatibility
- integration burden
- exit options / portability
- fee model
- service resilience
- auditability and evidence quality
- concentration risk

Where possible, provider choices should reinforce the case logic rather than undermine it. A weak provider stack can easily erode the value thesis of an otherwise promising structure.

C5. Important caution

The right provider stack is highly case-dependent.

A provider suitable for one asset class or operating model may not fit another. A provider strong in digital-asset custody may not be the right choice for transfer administration or legal structuring. A venue that looks attractive commercially may create regulatory or operating-model problems if the case does not actually need that level of transferability.

Appendix D — Glossary & abbreviations

A practical reference for the most common terms and abbreviations used in this report. Spelling note: tokenization uses “z”.

Term	Meaning
Added Value (AV)	TVAC’s net assessment of whether tokenization appears to improve a case overall once both upside and friction are weighed together. Formula: AV = (NO + CS + RR) – (TC + NR).
AML	Anti-Money Laundering controls intended to detect, prevent, and report suspicious financial activity.
Asset owner / Issuer	The originating party, sponsor, manager, or issuing structure responsible for launching or sponsoring the tokenized case being assessed.
ATS	Alternative Trading System. A regulated trading venue category used in some jurisdictions, particularly the United States.
Cash leg	The cash side of a transaction or settlement flow, as distinct from the asset or token side.
Conditional Go	A Tokenization Value Verdict indicating that tokenization may add net value, but remains materially dependent on design discipline, implementation choices, and resolution of key gating conditions.
Custody	The safeguarding, control, and recordkeeping of assets or positions on behalf of investors or market participants.
DeFi	Decentralized Finance. A blockchain-based ecosystem of protocols and applications designed to enable financial activity without relying entirely on traditional centralized intermediaries.
DEX	Decentralized Exchange.
Distribution scope	The intended investor reach of an offering or tokenized structure, including geography, investor type, and access conditions.
DvP	Delivery versus Payment. A settlement model in which transfer of the asset and transfer of payment are linked so that one does not occur without the other.
Economic rights	The financial entitlements attached to a token or instrument, such as income participation, coupon, principal repayment, or profit-sharing.
Execution risk	The risk that a concept that appears viable in theory fails in practice because implementation, coordination, economics, or governance proves weaker than assumed.
Governance	The decision-making, control, accountability, and escalation framework surrounding a structure, platform, issuer, or operating model.
Investor segmentation	The way the target investor base is defined and limited by investor type, sophistication, jurisdiction, or eligibility criteria.
MiCA	Markets in Crypto-Assets Regulation in the European Union.
MiFID II	Markets in Financial Instruments Directive II in the European Union.
Net Added Value	See Added Value (AV).
New Opportunities (NO)	Case-specific upside that tokenization creates or materially strengthens, such as new investor reach, new operational utility, collateral use, programmability, or improved strategic flexibility.
New Risks (NR)	Additional risks introduced by tokenization, including legal, regulatory, operational, technological, governance, distribution, or market-structure risks.
NO / CS / RR / TC / NR	Shorthand for TVAC’s five factors: New Opportunities, Cost Savings, Risk Reduction, Tokenization Costs, and New Risks.
Non-viable	A Tokenization Value Verdict indicating that the current structure does not support a positive tokenization value case under the TVAC methodology and should not proceed without substantial redesign.
On-chain settlement	A settlement process in which the relevant transfer logic is executed on a blockchain or distributed ledger environment.
Professional investor	An investor category used in many jurisdictions for parties assumed to have greater sophistication, capacity, or experience than retail investors.
Prospectus	A formal disclosure document that may be required for certain public offerings or investor solicitations under applicable law.
Registry	The official or operational record of holdings, ownership, or investor positions.

Term	Meaning
Rights mapping	The process of making clear what legal, economic, governance, and transfer rights a token actually represents and how those rights are enforceable.
Risk Reduction (RR)	The extent to which tokenization reduces existing risk in the conventional setup, for example through better controls, improved transparency, clearer auditability, or lower reconciliation burden.
SEC	Securities and Exchange Commission in the United States.
Self-custody	A model in which the end holder directly controls the relevant wallet, keys, or token position without relying on a traditional third-party custodian.
Settlement model	The way asset transfer, cash transfer, record updates, and finality are operationally achieved.
SPV	Special Purpose Vehicle. A ring-fenced legal entity often used for issuance, structuring, asset isolation, or liability segregation.
Structured product	A financial instrument combining defined economic exposure with a formal legal wrapper and specified payout logic.
Tokenization Costs (TC)	The additional costs introduced by tokenization, including structuring, legal work, compliance, integration, platform costs, governance overhead, servicing changes, and operating complexity.
Transfer controls	Rules, permissions, and technical or legal mechanisms governing who may transfer, receive, or hold the token.
Transfer restrictions	Specific limitations placed on secondary transfers, often for regulatory, contractual, or investor-eligibility reasons.
TVAC	Tokenization Value-Add Calculator. A structured decision-support methodology for assessing whether tokenization appears to create net added value in a specific case.
Vendor-capture risk	The risk that a structure becomes economically or operationally overly dependent on one platform, provider, or implementation path in a way that shifts value away from the initiating party.
Venue fit	The degree to which the chosen issuance, transfer, trading, or liquidity venue matches the asset, investor scope, regulatory posture, and operating model of the case.
Viable	A Tokenization Value Verdict indicating that the TVAC methodology identifies a positive tokenization value case under the described structure, subject to validation and disciplined execution. It is not an investment, credit, yield, valuation, legal, tax, or suitability assessment.
Whitelist / Whitelisting	A mechanism for restricting participation or transferability to pre-approved investors, wallets, counterparties, or participants.

Appendix E — Case inputs used for assessment

E.1 Full verbatim case description

Full original free-text case input provided by the user.

We plan to acquire a portfolio of fine art pieces and offer fractional ownership to a global retail audience through NFTs. Marketing would be conducted via social media campaigns, and participation would be open to anyone able to connect a self-custody wallet.

The legal structure is not fully defined. Tokens may represent a mixture of contractual claims, informal profit-sharing promises, and membership rights tied to an offshore holding entity. We do not intend to publish a prospectus or formal disclosure document and prefer minimal onboarding friction.

Tokens would trade continuously on decentralized exchanges with atomic on-chain settlement. Transfers would not be restricted by jurisdiction, and investors would self-custody their tokens.

The business thesis relies on global retail demand, social momentum, and perceived liquidity from DEX trading. However, significant risks include unclear investor protection, cross-border securities law exposure, valuation disputes, provenance challenges, market manipulation, and regulatory enforcement uncertainty. The economic and legal alignment between token holders and the underlying artwork ownership remains structurally ambiguous.

E.2 Structured input record

This record reproduces the structured inputs supplied for this assessment. For dropdowns and checkboxes, it also shows the alternatives that were available but not selected.

Field	User response	Other available options not selected
Issuance jurisdiction	Cayman Islands	Not applicable
Sale jurisdictions (comma-separated)	United States, United Kingdom, EU, Singapore	Not applicable
Instrument type	Sole-record / native tokenized security	Digital wrapper (CSD/TA/registrar)
Custody model	Self-custody (wallets)	Regulated custodian; Transfer agent / CSD
Secondary-market liquidity	Continuous	None; Ad-hoc OTC; Quarterly windows
Secondary-market venue	DEX (permissioned)	ATS / MTF; OTC; CSD / TA-registered
Payment / cash-leg model	Advanced: T+0 / atomic DvP	Not decided yet; Not material at this stage; Traditional bank / fiat payments; Custodian / bank / TA / CSD settlement; Stablecoin / tokenized cash; Deposit token / tokenized deposit / institutional DvP rail; T+1/T+2 securities settlement; Advanced: off-chain booking
Offering disclosure	Not specified	KID (PRIIPs); Prospectus; Exempt / limited-offering route (jurisdiction-dependent)
Transfer restrictions	None	Not applicable
Tax considerations (optional)	Unclear cross-border tax treatment	Not applicable
Investor types	Retail	Professional; Qualified / accredited (jurisdiction-dependent)

An option shown as not selected was not necessarily actively considered or rejected by the user; it was simply not selected for this assessment.

> **Scenario comparison:** Alternative options shown here can help identify design variables worth testing in a new assessment or in TVAC Scenario Lab—for example a different custody model, settlement model, participant type or transfer setup.

Appendix F — Disclaimer

Disclaimer

This report is provided for informational and decision-support purposes only. It does not constitute legal, regulatory, tax, accounting, investment, valuation, or financial advice, and it should not be relied upon as a substitute for professional advice tailored to the specific facts and circumstances of the case.

TVAC is a structured assessment tool designed to evaluate whether and when tokenization may create added value relative to conventional alternatives. Its outputs reflect a methodology-based analytical framework operating under uncertainty. They are not guarantees of commercial success, feasibility, investor demand, regulatory approval, liquidity, execution quality, budget outcome, or risk reduction.

Any scores, verdicts, scenarios, stakeholder assessments, suggested actions, implementation observations, and roadmap elements in this report are indicative only and depend on the quality, completeness, and interpretation of the input data, as well as on assumptions about structure, jurisdiction, service-provider readiness, market conditions, execution capability, and timing.

Tokenization outcomes can differ materially from this assessment if key conditions change, including legal structuring, investor scope, jurisdiction count, custody model, distribution pathway, settlement design, governance arrangements, servicing readiness, technology integration, cost allocation, evidence quality, or liquidity support.

A TVAC verdict is a tokenization added-value verdict only. It must not be presented or used as investment approval, credit rating, yield validation, issuer endorsement, regulatory approval, due diligence report, or investor recommendation. TVAC does not validate projected returns, coupon payments, credit quality, valuations, legal enforceability, tax treatment, or investor suitability.

This report does not replace formal legal analysis, regulatory review, tax analysis, technical architecture review, cybersecurity review, accounting assessment, operational diligence, commercial validation, or board-level decision processes. Independent advice should always be obtained before any structuring, issuance, distribution, investment, operational, or implementation decision is made.

Neither TVAC nor Astoval assumes responsibility for actions taken on the basis of this report alone. Users remain solely responsible for all commercial, legal, regulatory, operational, and strategic decisions related to any proposed tokenization initiative.

TVAC

Tokenization Value-Add Calculator

A PRODUCT BY ASTOVAL

Astoval provides independent, AI-enhanced early-stage decision support for asset tokenization, helping organizations assess whether tokenization creates genuine added value before significant resources are committed to legal structuring, platform selection or implementation.

PRIVACY AND DATA

Case inputs and generated reports are processed for delivery and are not intentionally retained as a persistent customer-case record in the standard self-service flow. OpenAI API data is not used for model training unless the API customer opts in; separate abuse-monitoring retention may apply for up to 30 days.

CONTACT

EMAIL	support@astoval.com
TVAC	tvacai.com
ASTOVAL	astoval.com
LINKEDIN	linkedin.com/company/astoval

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